Question 1: Solution

Identified risks and recommended further actions:

Risk	Evaluation	Further Actions
Fred Johnstone approached Ned Black as they know each other socially (**1 mark**).	There is a familiarityrisk **(1 mark)** and this may impair the independence of SW (**1 mark**).	Ned should not be involved in the audit ofElectipart **(1 mark)** and instead, a different and independent audit partner should take on the engagement (**1 mark**).
The previous auditor has recently resigned without any warning (**1 mark**)	There may be reasons behind the resignation that could impact our decision to accept the engagement (**1 mark**)	We should follow the formal procedures in relation to contacting the previous auditors to determine if there are anyreasons for not accepting the engagement. **(1 mark)** If access to the previous auditor papers is denied, the engagement should be rejected (**1 mark**).
The press reports regarding the use of child labour may damage the reputation of Electipart (**1 mark**).	As their auditors, we must be aware that our reputation could also suffer **(1 mark)** as we would be publicly connected with the company (**1 mark**).	We should evaluate the impact of the adverse press coverageon the client. This may include additional work to assess the impact on revenue as this may lead to a going concern risk. If the company has a poor reputation and accepting the engagement would be to the detriment of SW, **(1 mark)** then the engagement should not be accepted (**1 mark**).
The audit will require significant resources with multiple overseas locations and subsidiary companies involved and a tight reporting deadline (**1 mark**).	There is a risk that we do not have the relevant resources **(1 mark)** to perform the audit to a high standard within the requested timeframe (**1 mark**).	We shouldcheck our staff availability against Electipart's proposed reporting timescale **(1 mark)** and check that we have sufficient staff availability with the relevant expertise and appropriate overseas resources to undertake the work (**1 mark**).

Question 2: Solution

Review the identified risks and their evaluation.

Previous auditors

The previous auditors have resigned from office, and we have been given no clear reason why they resigned (**1 mark**). There may be risks associated with CCC that were not acceptable to the previous auditors or acceptable to AW due to serious underlying problems **(1 mark)** ; for example, fraud or going concern risks (**1 mark**).

Family relationship

Managing director of CCC, Colin Carnegie, is the brother-in-law of a partner, Eric Walker, in AW (**1 mark**). This relationship could compromise the firm's independence **(1 mark)** and Eric should therefore have noinvolvement in the audit. (**1 mark**).

Dependency on client

There is the potential need for a large audit fee given the geographical spread and potential complexity of the audit (**1 mark**). There is a risk that the firm could become financially dependent on the client **(1 mark)** andbreach the relevant thresholds under the FRC *Ethical Standard*. (**1 mark**).

Firm resources

CCC would become one of AW's largest clients (**1 mark**). The size of CCC could have resource implications **(1 mark)** and the firm may not have appropriate resources to complete this audit alongside existingengagements (**1 mark**).

Complex accounting

CCC deals in commodities including futures and options which is a complex area of accounting (**1 mark**). There is a risk that we do not have the relevant knowledge or experience **(1 mark)** to act as auditors in the commodity trading industry (**1 mark**).

Geographical issues

Part of the finance function for Ethiopia, Peru and the Netherlands is based in each of these countries (**1 mark**). We need to understand the extent of the finance function based in each country, what language the documentation is in and whether we have or can rely on local knowledge and resources to do this work. **(1 mark)** If we cannot rely on such local knowledge, there is a risk that we do not have the appropriate resources to undertake this engagement (**1 mark**).

Payment of fees

CCC is expecting to make losses for the year ended 30 September 20X7 (**1 mark**). This calls into question the ability of CCC to pay our audit fees **(1 mark)** presenting a financial risk from accepting the engagement (**1 mark**).

Association with a failing company

If CCC is loss-making, this may call into question the bank's decision to renew the company's loan and overdraft and therefore its ability to continue as a going concern (**1 mark**). If it is not a going concern, then the collapse of a well-known company **(1 mark)** could affect our reputation as auditors (**1 mark**).

Reputational risk

A recent documentary highlighted the exploitation of workers and the use of child labour on coffee plantations in Ethiopia (**1 mark**). Although CCC was not named, this has had a negative impact on CCC's revenue as the coffee is not fair trade. If there is continued adverse publicity associated **(1 mark)** with this, then it could damage the reputation of our firm (**1 mark**).

Timing of audit

Signed financial statements are needed for 15 November and the head accountant is going on maternity leave on 30 September (**1 mark**). Pressure to sign off the financial statements and as the head accountant will not be present post-year end, **(1 mark)** information may not be available on a timely basis impacting our ability to complete the audit (**1 mark**).